FINANCIAL REPORT

2020

FACEBANK

CONTENT

03 CEO MESSAGE

05 THE NUMBERS

07 FINNANCIAL RATIOS

08 DBRS RATING

11 AUDITED FINANCIAL STATEMENT

FACEBANK

We present the audited financial information for the year ended December 31, 2020, along with our current credit risk rating.

The result of operations passed what for many would be a stress testing scenario that no body anticipated at the start of 2020. However, we felt this test to our business model proved a strong operations and financial position that not only led to surpass the challenges of a worldwide pandemic environment if not to also record a growth of approximately 19% in total assets. We keep expanding our core deposits customer base while implementing new technologies and services within FACEBANK.

Our new mobile app and new internet banking allowed our costumers to enhance the user experience while banking from anywhere in the world. In addition, during this 2020 we launched **Nueva Cuenta Dolar mobile app** that allows new customers to experience a totally digital onboarding; this is one key piece on FACEBANK strategy entering into new markets. Finally, but not least, our recently launched pipol app that permit P2P and P2C payments between customers of any bank in the United States solidified during the 2020. Definitely a lesson learned during this year is that technology-oriented businesses were able to surpass times of economic distress. FACEBANK used times where distancing was a necessity to bring us together by service and technology.

Hard work and dedication to our costumers following banking industry best practices with sound and lower-risk strategies while aiming to sustainable growth, are the centerpiece of our business plan. The following financial information shows the spirit behind our operations.

2020 Definitely a year of challenges, that resulted in a year of strong positioning looking forward.

2020
BY THE **NUMBERS**

2020 BY THE NUMBERS

The year 2020 was a year filled with significant uncertainties and social, economic and geopolitical challenges caused by the COVID-19 pandemic. Our bank was affected by the pandemic as most banks and businesses around the world. FACEBANK generated $5.5 million in net income for the year ending on December 31, 2020. The ROE closed at 23.04%, a positive difference of 14.71% in comparison to our peers 8.33%. Furthermore, the ROA closed at 1.53% in 2020, which represents a 0.67% difference in comparison with the industry ROA of 0.86%. peer's indicator of 0.41%. The combined effect of these metrics has been responsible for the bank's superior performance against its peers, which is a low cost of funds combined with a higher.

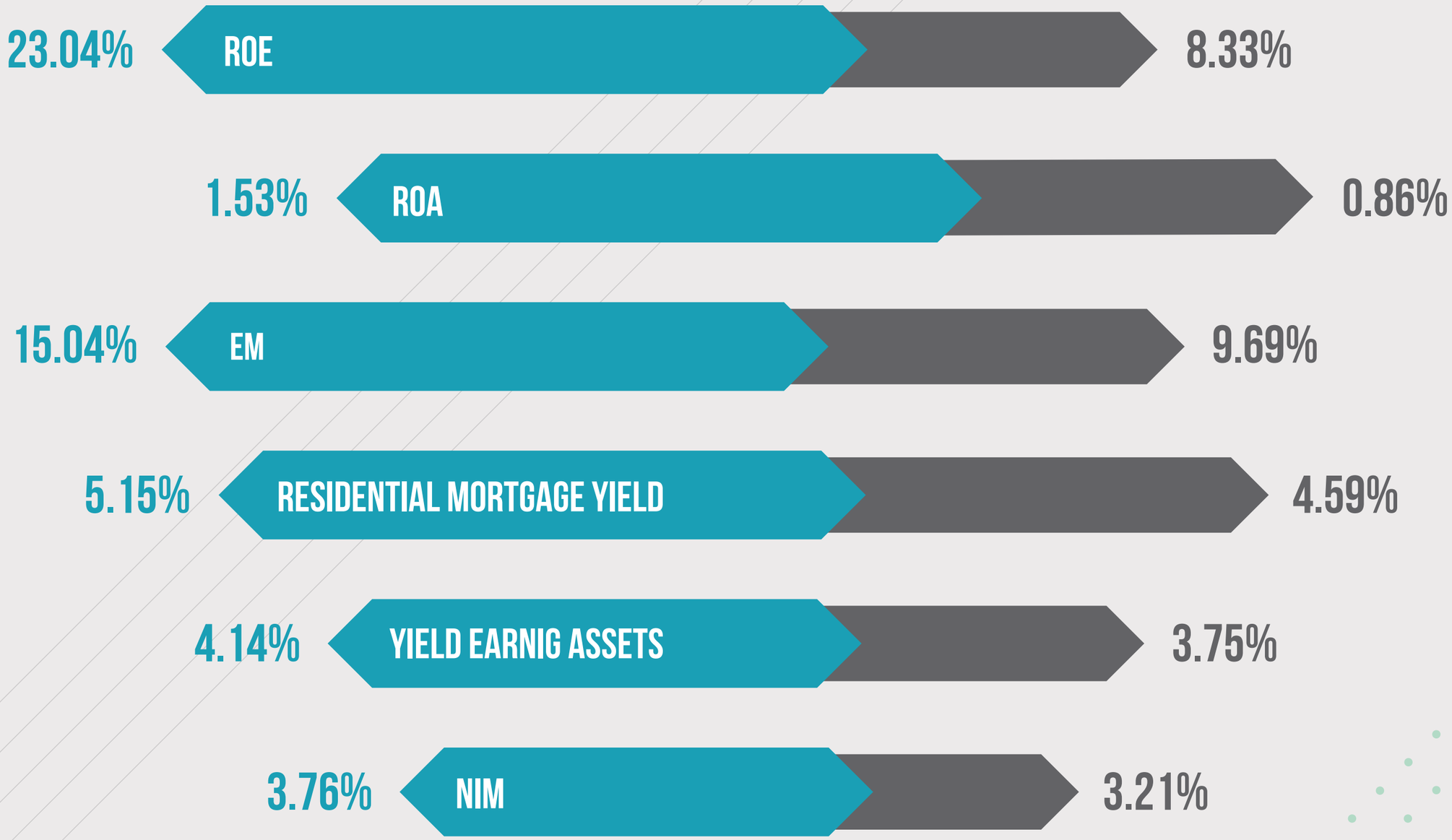
From the operational perspective, FACEBANK achieved lower managing costs in comparison to its peers in the banking industry. At the end of 2020 FACEBANK's efficiency ratio closed at 65.03%, a difference of 6.67% in comparison with its peers whom closed at 71.70%. The difference is sustained principally due to FACEBANK's business model, where the traditional fixed costs are transformed into variable costs by using a network of sales that are compensated in accordance with the NIM and average balances, instead of having the traditional compensation packages. In addition, the bank's "all digital" strategy of not having physical branch offices has provided a reduction in operating expenses.

Moreover, FACEBANK's asset quality as of December 31, 2020 show an outstanding position. As of year-end the bank had 0% (zero) on other real estate owned to total assets while the peer's indicator was 0.14%. Furthermore, FACEBANK's Texas ratio was 5.08% while its peers closed at 5.70%. After reviewing these ratios, it is conclusive that FACEBANK's underwriting guidelines have proven effective in terms on credit risk and rentability.

The bank's performance during 2020 is most accentuated by an outstanding return on equity if 23 cents for every dollar, which is almost three times greater than banks of comparable size and business. This continues to be the reflection of the talented and truly committed professionals, agile administration, and a strong risk management culture.

SELECTED **FINANCIAL** RATIOS

SELECTED **FINANCIAL** RATIOS



DBRS
RATING

MORNINGSTAR | DBRS

PRESS RELEASE

AUGUST 21, 2020

DBRS Morningstar Confirms FACEBANK International Corporation at BB; Stable Trend

BANKING ORGANIZATIONS

DBRS, Inc. (DBRS Morningstar) confirmed the ratings of FACEBANK International Corporation (FACEBANK or the Company), including the Company's Long-Term Issuer Rating of BB. The trend for all ratings is Stable. The Intrinsic Assessment (IA) for the Company is BB and the Support Assessment is SA3.

KEY RATING CONSIDERATIONS

Established in 2006, FACEBANK operates as an International Bank Entity (IBE) under the laws of the Commonwealth of Puerto Rico. The IBE charter offers a tax-effecient platform for the bank to provide U.S. dollar deposit and payment services to foreign customers. Through its Florida-based mortgage subsidiary, Florida Home Trust, the Company provides residential mortgage loans in select Florida counties largely to foreign nationals. We note that FACEBANK has no lending or securities exposure to Puerto Rico.

Importantly, the Company maintains an online connection with the Federal Reserve Bank of New York, which allows it to efficiently clear deposits for its customers, saving both time and expense. We view this as a competitive advantage for FACEBANK, as it is the only IBE with this connectivity, which is contingent on the Company maintaining strong BSA/AML and corporate governance practices.

FACEBANK has shown improving and strong profitability metrics driven by a high net interest margin (NIM), supported by low funding costs and an above average return on its residential mortgage loan portfolio, its primary loan category. This portfolio has performed well during the Company's operating history, with low levels of non-accrual loans and charge-offs. However, the portfolio has grown during a period of sound Florida real estate fundamentals and has not been tested in a downturn.

Additionally, the Company maintains about 29% of its balance sheet in liquid assets including a large percentage in low credit risk U.S. government securities. The ratings are underpinned by FACEBANK's liquid balance sheet, profitable operating niche and conservative loan underwriting. Constraining the ratings are the Company's short operating history, heightened operational risk surrounding BSA/AML compliance given its customer base, as well as limited scale and diversity.

RATING DRIVERS

Increased franchise scale and a greater diversity of earnings would result in a ratings upgrade. Conversely, an increased risk appetite, sustained asset quality deterioration or BSA/AML compliance issues would result in a downgrade of ratings.

RATING RATIONALE

Over its limited operating history, FACEBANK has built a profitable banking franchise, helping its international customers transact business in the U.S. Instead of branches, the Company facilitates its deposit gathering through an arrangement with Business Development Facilitators (BDF). These BDFs, professionals located primarily in South America, partner with the Company by referring customers with a need for a U.S. dollar account to FACEBANK, sharing in the profits from this customer relationship. This arrangement, using BDFs that are vetted and largely well known to FACEBANK's board of directors, helps keep operating costs low.

Additionally, the Company gathers deposits from its lending business, requiring a deposit account for its loan customers, as well as the maintenance of escrow deposits. These sources result in a relatively stable and low-cost deposit base. The Company's cost of funds in 1H20 was just 21 basis points. This, along with a higher than average yield on its residential mortgage portfolio, helps to support the Company's solid NIM and overall earnings. Profitability is also aided by wire transfer fees, as well as the IBE charter, which allows the Company to operate essentially tax exempt.

FACEBANK's primary loan product is residential mortgages in Florida to foreign nationals. While this poses additional risks, the Company mitigates these risks with full underwriting and conservative loan-to-value (LTV) ratios, including a maximum LTV of 70% dependent on the type of property and borrower. Given the current environment, the Company has enacted a temporary forbearance program, which has been adopted by about 10% of its mortgage customers. However, a stable Florida housing market and low LTV ratio on these properties should provide the Company with ample downside protection.

The Company is not subject to regulatory capital requirements, although risk-based capital levels are calculated by management. DBRS Morningstar views FACEBANK's capital levels as adequate given its capital generation, well-secured loan portfolio and risk management practices. As a privately-held institution, FACEBANK's sources of additional capital are limited, although management has indicated that the Company's ownership does have the wherewithal to inject additional capital, if needed. Since 2012, internal capital generation has been growing and is sufficient to fund balance sheet growth.

ESG CONSIDERATIONS

A description of how DBRS Morningstar considers ESG factors within the DBRS Morningstar analytical framework and its methodologies can be found at: https://www.dbrsmorningstar.com/research/357792.

The Grid Summary Grades for FACEBANK International Corporation are as follows: Franchise Strength – Weak; Earnings Power – Moderate; Risk Profile – Moderate/Weak; Funding & Liquidity – Moderate/Weak; Capitalisation – Moderate/Weak.

Notes:
All figures are in U.S. dollars unless otherwise noted.

The principal methodology is the Global Methodology for Rating Banks and Banking Organisations (June 8, 2020): https://www.dbrsmorningstar.com/research/346375/global-methodology-for-rating-banks-and-banking-organisations.

For more information regarding rating methodologies and Coronavirus Disease (COVID-19), please see the following DBRS Morningstar press release: https://www.dbrsmorningstar.com/research/357883.

The primary sources of information used for this rating include Company Documents. DBRS Morningstar considers the information available to it for the purposes of providing this rating was of satisfactory quality.

The rated entity or its related entities did participate in the rating process for this rating action. DBRS Morningstar had access to the accounts and other relevant internal documents of the rated entity or its related entities in connection with this rating action.

Generally, the conditions that lead to the assignment of a Negative or Positive trend are resolved within a 12-month period. DBRS Morningstar's outlooks and ratings are under regular surveillance.

For more information on this credit or on this industry, visit www.dbrsmorningstar.com.

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Ratings

FACEBANK International Corporation

Date Issued	Debt Rated	Action	Rating	Trend	Issued
21-Aug-20	Long-Term Issuer Rating	Confirmed	BB	Stb	US
21-Aug-20	Short-Term Issuer Rating	Confirmed	R-4	Stb	US
21-Aug-20	Long-Term Deposits	Confirmed	BB	Stb	US
21-Aug-20	Long-Term Senior Debt	Confirmed	BB	Stb	US
21-Aug-20	Short-Term Instruments	Confirmed	R-4	Stb	US

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AUDITED
FINANCIAL
STATEMENT

CONTENTS

INDEPENDENT AUDITOR'S REPORT 1

CONSOLIDATED FINANCIAL STATEMENTS

- CONSOLIDATED BALANCE SHEETS 3
- CONSOLIDATED STATEMENTS OF OPERATIONS 4
- CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME 5
- CONSOLIDATED STATEMENTS OF CHANGES IN STOCKHOLDERS' EQUITY 6
- CONSOLIDATED STATEMENTS OF CASH FLOWS 7
- NOTES TO CONSOLIDATED FINANCIAL STATEMENTS 8

SUPPLEMENTARY INFORMATION:

- CONSOLIDATING BALANCE SHEET 29
- CONSOLIDATING STATEMENT OF OPERATIONS 30

Crowe

Crowe LLP
Independent Member Crowe Global

INDEPENDENT AUDITOR'S REPORT

Board of Directors and Stockholders
FaceBank International Corporation
Guaynabo, Puerto Rico

Report on the Financial Statements

We have audited the accompanying consolidated financial statements of FaceBank International Corporation, which comprise the consolidated balance sheets as of December 31, 2020 and 2019, and the related consolidated statements of operations, comprehensive income, changes in stockholders' equity, and cash flows for the years then ended, and the related notes to the consolidated financial statements.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these consolidated financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an opinion on these financial statements based on our audits. We conducted our audits in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the consolidated financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the consolidated financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the consolidated financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the consolidated financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

(Continued)

Opinion

In our opinion, the consolidated financial statements referred to above present fairly, in all material respects, the financial position of FaceBank International Corporation as of December 31, 2020 and 2019, and the results of its operations and its cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.

Other Matter

Our 2020 audit was conducted for the purpose of forming an opinion on the consolidated financial statements as a whole. The consolidating balance sheet and statement of operations are presented for purposes of additional analysis of the consolidated financial statements rather than to present the financial condition and results of operations of the individual companies and is not a required part of the consolidated financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the consolidated financial statements. The consolidating information has been subjected to the auditing procedures applied in the audit of the consolidated financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the consolidated financial statements or to the consolidated financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the consolidating information is fairly stated in all material respects in relation to the 2020 consolidated financial statements as a whole.

Crowe LLP

Crowe LLP
License No.: 224
Expires: December 1, 2021

Miami, Florida
March 31, 2021

Stamp No. E193199 of the
Puerto Rico Society of Certified
Public Accountants was affixed to
the record copy of this report.

FACEBANK INTERNATIONAL CORPORATION

CONSOLIDATED BALANCE SHEETS
December 31, 2020 and 2019

	2020	2019
ASSETS		
Cash and cash equivalents	$ 39,969,291	$ 28,274,769
Interest-bearing deposits in other financial institutions, restricted	582,375	367,708
Securities available for sale, at fair value	77,533,415	46,891,414
Securities held to maturity (fair value $16,890,250 and $18,032,225)	16,892,638	18,164,274
Loans, net of allowance of $905,695 and $779,620	250,119,974	229,937,989
Premises and equipment, net	1,941,894	1,479,002
Accrued interest receivable	1,547,299	1,353,051
Other assets	1,644,270	1,275,707
Total assets	$ 390,231,156	$ 327,743,914
LIABILITIES AND STOCKHOLDERS' EQUITY		
Liabilities		
Deposits		
Demand deposits	$ 304,377,044	$ 247,842,078
Time deposits	54,478,471	51,216,877
Escrow accounts	3,083,364	2,828,393
Total deposits	361,938,879	301,887,348
Notes payable	-	1,911,771
Accrued interest payable	352,247	601,616
Accrued expenses and other liabilities	1,214,394	1,169,897
Total liabilities	363,505,520	305,570,632
Commitments and contingencies (See "Note 10 – Loan Commitments")		
Stockholders' equity		
Class A common stock, $0.40 par value; 20,776,702 shares authorized, 20,287,634 shares issued and outstanding in 2020 and 2019, respectively	8,115,054	8,115,054
Class B common stock, $0.40 par value; 17,700,000 shares authorized, 12,712,809 shares issued and outstanding in 2020 and 2019, respectively	5,085,124	5,085,124
Retained earnings	12,859,677	8,826,673
Accumulated other comprehensive income	665,781	146,431
Total stockholders' equity	26,725,636	22,173,282
Total liabilities and stockholders' equity	$ 390,231,156	$ 327,743,914

See accompanying notes to consolidated financial statements.

FACEBANK INTERNATIONAL CORPORATION

CONSOLIDATED STATEMENTS OF OPERATIONS
For the years ended December 31, 2020 and 2019

	2020	2019
Interest income		
Loans, including fees	$ 13,577,261	$ 12,347,042
Interest-bearing deposits	114,176	1,032,200
Securities	1,151,132	1,242,683
	14,842,569	14,621,925
Interest expense		
Deposits	1,270,802	1,446,068
Other	43,396	99,873
	1,314,198	1,545,941
Net interest income	13,528,371	13,075,984
Provision for loan losses	129,266	153,829
Net interest income after provision for loan losses	13,399,105	12,922,155
Non-interest income		
Wire transfer fees	3,316,404	2,873,195
Gain on sale of securities available for sale	403,932	11,316
Other income	847,917	869,743
	4,568,253	3,754,254
Non-interest expenses		
Salaries and employee benefits	3,911,814	3,122,550
Commission expense	2,353,967	2,022,857
Professional services	2,534,398	2,043,610
Occupancy and related expenses	768,963	598,782
Debit and credit card processing fees	836,728	621,852
Advertising	274,596	318,918
Bank service fees	163,284	134,979
Other expenses	1,496,521	1,666,049
	12,340,271	10,529,597
Income before income taxes	5,627,087	6,146,812
Income tax expense (benefit)	94,083	(60,102)
Net income	$ 5,533,004	$ 6,206,914

See accompanying notes to consolidated financial statements.

FACEBANK INTERNATIONAL CORPORATION

CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
Years ended December 31, 2020 and 2019

	2020	2019
Net income	$5,533,004	$6,206,914
Other comprehensive income:		
Unrealized gains on securities:		
Unrealized holding gain arising during the period	923,282	358,158
Reclassification adjustment for gain included in net income	(403,932)	(11,316)
Total other comprehensive income	519,350	346,842
Comprehensive income	$6,052,354	$6,553,756

See accompanying notes to consolidated financial statements.

FACEBANK INTERNATIONAL CORPORATION

CONSOLIDATED STATEMENTS OF CHANGES IN STOCKHOLDERS' EQUITY
For the years ended December 31, 2020 and 2019

	Class A Common Stock	Class B Common Stock	Retained Earnings	Accumulated Other Comprehensive Income (Loss)	Total
Balance at January 1, 2019	$ 8,115,054	$ 5,085,124	$ 3,619,759	$ (200,411)	$ 16,619,526
Net income	-	-	6,206,914	-	6,206,914
Dividends paid	-	-	(1,000,000)	-	(1,000,000)
Total other comprehensive income	-	-	-	346,842	346,842
Balance at December 31, 2019	$ 8,115,054	$ 5,085,124	$ 8,826,673	$ 146,431	$ 22,173,282
Net income	-	-	5,533,004	-	5,533,004
Dividends paid	-	-	(1,500,000)	-	(1,500,000)
Total other comprehensive income	-	-	-	519,350	519,350
Balance at December 31, 2020	$ 8,115,054	$ 5,085,124	$ 12,859,677	$ 665,781	$ 26,725,636

See accompanying notes to consolidated financial statements.

FACEBANK INTERNATIONAL CORPORATION

CONSOLIDATED STATEMENTS OF CASH FLOWS
For the years ended December 31, 2020 and 2019

	2020	2019
Cash flows from operating activities		
Net income	$ 5,533,004	$ 6,206,914
Adjustments to reconcile net income to net cash from operating activities:		
Provision for loan losses	129,266	153,829
Net amortization (accretion) of securities	207,003	(337,929)
Depreciation	285,632	213,404
Gain on sale of securities available for sale	(403,932)	(11,316)
Net change in assets and liabilities:		
Increase in accrued interest receivable	(194,248)	(271,667)
Increase in other assets	(368,563)	(397,452)
(Decrease) increase in accrued interest payable	(249,369)	314,753
Increase in accrued expenses and other liabilities	44,497	267,325
Net cash from operating activities	4,983,290	6,137,861
Cash flows from investing activities		
Net increase in interest bearing deposits in other financial institutions	(214,667)	(1,660)
Securities available for sale:		
Proceeds from sales, maturities and pay downs	50,536,254	65,909,106
Purchases	(80,687,170)	(78,850,574)
Securities held to maturity:		
Proceeds from maturities	26,303,125	25,720,000
Purchases	(24,806,295)	(42,031,269)
Loan originations, net	(20,311,251)	(25,795,479)
Capital expenditures	(748,524)	(342,921)
Net cash from investing activities	(49,928,528)	(55,392,797)
Cash flows from financing activities		
Net increase in deposits	60,051,531	10,767,761
Repayments of notes payable	(1,911,771)	(1,305,000)
Payment of dividends	(1,500,000)	(1,000,000)
Net cash from financing activities	56,639,760	8,462,761
Net change in cash and cash equivalents	11,694,522	(40,792,175)
Cash and cash equivalents, beginning of year	28,274,769	69,066,944
Cash and cash equivalents, end of year	$ 39,969,291	$ 28,274,769
Supplemental disclosure:		
Interest paid	$ 1,563,567	$ 1,231,188

See accompanying notes to consolidated financial statements.

FACEBANK INTERNATIONAL CORPORATION

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
December 31, 2020 and 2019

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Nature of Operations and Principles of Consolidation:
FaceBank International Corporation (the "Bank") was incorporated under the laws of the Commonwealth of Puerto Rico in 2006 under the name of Blue Bank International Corporation. During 2008, the Bank changed its name to FaceBank International Corporation. The Bank is a 32.51% owned subsidiary of Mulligan Investments Corporation (the "Parent Company").

The consolidated financial statements include the accounts of Florida Home Trust Mortgage, Inc. (“FHT”), a wholly owned subsidiary of the Bank that primarily provides lending operation support in South Florida. All significant intercompany balances and transactions have been eliminated in consolidation.

The Bank was organized as an international banking entity ("IBE"), pursuant to the provisions of the International Banking Law of the Commonwealth of Puerto Rico. As an IBE, the Bank is authorized to provide specialized banking products and services such as loans and deposits and other private banking services to foreign customers. The Bank is subject to supervision by the Office of the Commissioner of Financial Institutions of Puerto Rico (the "OCFI"). The Bank must comply with certain banking regulations, including minimum capital requirements at inception, among others. The Bank is not subject to the regulations of the Federal Deposit Insurance Corporation (“FDIC”) and customer deposits are not insured by the FDIC.

Subsequent Events: On January 21, 2021, the Bank’s Board of Directors approved two dividends; a $500,000 dividend to its shareholders on file as of February 1, 2021, and a $500,000 dividend to its shareholders on file as of July 1, 2021.

The Bank has evaluated subsequent events for recognition and disclosure through [redacted], which is the date the financial statements were available to be issued.

Use of Estimates: To prepare financial statements in conformity with accounting principles generally accepted in the United States of America, management makes estimates and assumptions based on available information. These estimates and assumptions affect the amounts reported in the financial statements and the disclosures provided, and actual results could differ.

The coronavirus (COVID-19) pandemic has negatively impacted many of the Bank’s loan customers and the economy. The resulting recession, heightened unemployment levels, temporary closure or limited service capacity of many businesses, implementation of social distancing, sheltering-in-place policies, and travel restrictions has and may continue to negatively impact many of the Bank’s customers. At this time, it is difficult to quantify the impact that COVID-19 and the vaccination plans will have on the estimates and assumptions used to prepare the financial statements. Future increases to the allowance for loan losses may be required as a result of the economic downturn and those increases could be material.

Cash Flows: Cash and cash equivalents include cash, restricted cash, deposits with other financial institutions with original maturities fewer than 90 days. Net cash flows are reported for customer loan and deposit transactions, and other borrowings.

Interest-Bearing Deposits in Other Financial Institutions: Interest-bearing deposits in other financial institutions mature within one year and are carried at cost.

Securities: Debt securities are classified as held to maturity and carried at amortized cost when management has the positive intent and ability to hold them to maturity. Debt securities are classified as available for sale when they might be sold before maturity. Securities available for sale are carried at fair value, with unrealized holding gains and losses reported in other comprehensive loss, net of tax (if any).

(Continued)

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

Interest income includes amortization of purchase premium or discount. Premiums and discounts on securities are amortized on the level-yield method without anticipating prepayments, except for mortgage backed securities where prepayments are anticipated. Gains and losses on sales are recorded on the trade date and determined using the specific identification method.

Management evaluates securities for other-than-temporary impairment ("OTTI") on at least a quarterly basis, and more frequently when economic or market conditions warrant such an evaluation. For securities in an unrealized loss position, management considers the extent and duration of the unrealized loss, and the financial condition and near-term prospects of the issuer. Management also assesses whether it intends to sell, or it is more likely than not that it will be required to sell, a security in an unrealized loss position before recovery of its amortized cost basis. If either of the criteria regarding intent or requirement to sell is met, the entire difference between amortized cost and fair value is recognized as impairment through earnings. For debt securities that do not meet the aforementioned criteria, the amount of impairment is split into two components as follows: 1) OTTI related to credit loss, which must be recognized in the income statement and 2) OTTI related to other factors, which is recognized in other comprehensive income. The credit loss is defined as the difference between the present value of the cash flows expected to be collected and the amortized cost basis.

Restricted Certificates of Deposit: The Bank is required by the International Banking Center Act to maintain in Puerto Rico $300,000 in assets free of any lien. To comply with this requirement, the Bank had a certificate of deposit with a carrying value of $300,000 as of December 31, 2020 and 2019, respectively.

The Bank is member of Puerto Rico Value Exchange Association, Inc., an intermediary entity to settle transactions between Credit and Debit Cards providers, processors and the Bank, under membership terms the Bank is required to maintain assets free of any lien. To comply with this requirement, the Bank had a certificate of deposit with carrying value of $282,375 and $67,708 as of December 31, 2020 and 2019, respectively.

These certificates of deposit are reported as interest-bearing deposits in other financial institutions and as restricted on the balance sheet. Both certificates of deposit are in trust with financial institutions in the Commonwealth of Puerto Rico.

Loans: Loans that management has the intent and ability to hold for the foreseeable future or until maturity or payoff are reported at the principal balance outstanding, net of deferred loan fees and costs, and an allowance for loan losses. Interest income is accrued on the unpaid principal balance. Loan origination fees, net of certain direct origination costs, are deferred and recognized in interest income using the level-yield method without anticipating prepayments. The Bank has identified three main portfolio segments which are residential real estate, consumer and credit cards.

Interest income on mortgage loans is discontinued at the time the loan is 90 days delinquent unless the loan is well-secured and in process of collection. Consumer and credit card loans are typically charged off no later than 120 days past due. Past due status is based on the contractual terms of the loan. In all cases, loans are placed on nonaccrual or charged-off at an earlier date if collection of principal or interest is considered doubtful. Nonaccrual loans and loans past due 90 days still on accrual include both smaller balance homogeneous loans that are collectively evaluated for impairment and individually classified impaired loans. A loan is moved to non-accrual status in accordance with the Bank's policy, typically after 90 days of non-payment.

All interest accrued but not received for all loans placed on nonaccrual are reversed against interest income. Interest received on such loans is accounted for on the cash-basis or cost-recovery method, until qualifying for return to accrual. Loans are returned to accrual status when all the principal and interest amounts contractually due are brought current and future payments are reasonably assured.

(Continued)

FACEBANK INTERNATIONAL CORPORATION
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
December 31, 2020 and 2019

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

Allowance for Loan Losses: The allowance for loan losses is a valuation allowance for probable incurred credit losses. Loan losses are charged against the allowance when management believes the uncollectibility of a loan balance is confirmed. Subsequent recoveries, if any, are credited to the allowance. Management estimates the allowance balance required using the nature and volume of the portfolio, information about specific borrower situations and estimated collateral values, economic conditions, and other factors. Allocations of the allowance may be made for specific loans, but the entire allowance is available for any loan that, in management's judgment, should be charged off. The majority of the Bank's loans as of December 31, 2020 and 2019 are secured by residential real estate.

The allowance consists of specific and general components. The specific component (if any) relates to loans that are individually classified as impaired.

A loan is impaired when, based on current information and events, it is probable that the Bank will be unable to collect all amounts due according to the contractual terms of the loan agreement. Loans for which the terms have been modified resulting in a concession (if any), and for which the borrower is experiencing financial difficulties, are considered trouble debt restructurings ("TDR") and classified as impaired. Substantially all loans classified as impaired as of December 31, 2020 and 2019 are from the residential real estate segment.

New accounting guidance was issued in 2020 for financial institutions to practice prudent efforts to work with borrowers impacted by COVID-19. Under the guidance, modifications deemed to be COVID-19-related would not be considered a TDR if the loan was not more than 30 days past due as of December 31, 2019 or at the time of the modification and the deferral was executed between March 1, 2020 and the earlier of 60 days after the date of termination of the COVID-19 national emergency or December 31, 2020. Subsequent guidance issued in December of 2020 extended the guidance through December 31, 2021. See "Note 4 – Loans" for additional disclosures of loans that were modified and not considered TDRs.

Factors considered by management in determining impairment include payment status, collateral value, and the probability of collecting scheduled principal and interest payments when due. Loans that experience insignificant payment delays and payment shortfalls generally are not classified as impaired. Management determines the significance of payment delays and payment shortfalls on a case by case basis, taking into consideration all of the circumstances surrounding the loan and the borrower, including the length of the delay, the reasons for the delay, the borrower's prior payment record, and the amount of the shortfall in relation to the principal and interest owed.

If a loan is impaired, a portion of the allowance is allocated so that the loan is reported, net, at the present value of estimated future cash flows using the loan's existing rate or at the fair value of collateral if repayment is expected solely from the collateral. Large groups of smaller balance homogeneous loans are collectively evaluated for impairment, and accordingly, they are not separately identified for impairment disclosures. Troubled debt restructurings are separately identified for impairment disclosures and are measured at the present value of estimated future cash flows using the loan's effective rate at inception. If a troubled debt restructuring is considered to be a collateral dependent loan, the loan is reported, net, at the fair value of the collateral. For troubled debt restructurings that subsequently default, the Bank determines the amount of reserve in accordance with the accounting policy for the allowance for loan losses.

The general component covers non-impaired loans and is based on risk factors and other loan loss data, adjusted for current economic factors. Since the Bank does not have substantial loan loss history, the Bank considered loss rates amongst banks with similar lending activities. The economic factors include consideration of the following: levels of and trends in delinquencies and impaired loans; levels of and trends in charge-offs (if any) and recoveries; trends in volume and terms of loans; effects of any changes in risk selection and underwriting standards; other changes in lending policies, procedures, and practices; experience, ability, and depth of lending management and other relevant staff; national and local economic trends and conditions; industry conditions; and effects of changes in credit concentrations. Residential real estate loans main risks are

(Continued)

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

changes in the value of the collateral and local economic impact on borrowers' employment and financial stability. To monitor the risks, the Bank keeps abreast of major employment changes and real estate values in its lending area.

Transfers of Financial Assets: Transfers of financial assets are accounted for as sales, when control over the assets has been relinquished. Control over transferred assets is deemed to be surrendered when the assets have been isolated from the Bank, the transferee obtains the right (free of conditions that constrain it from taking advantage of that right) to pledge or exchange the transferred assets, and the Bank does not maintain effective control over the transferred assets through an agreement to repurchase them before their maturity.

Premises and Equipment: Premises and equipment are stated at cost less accumulated depreciation. Buildings and related components are depreciated using the straight-line method with useful lives ranging from 10 to 40 years. Furniture, fixtures and equipment are depreciated using the straight-line method with useful lives ranging from 3 to 7 years.

Foreclosed Assets: Assets acquired through or instead of loan foreclosure are initially recorded at fair value less costs to sell when acquired, establishing a new cost basis. These assets are subsequently accounted for at lower of cost or fair value less estimated costs to sell. If fair value declines subsequent to foreclosure, a valuation allowance is recorded through expense. Operating costs after acquisition are expensed. As of December 31, 2020 and 2019 there were no foreclosed assets.

Income Taxes: Income tax expense is the total of current year income tax due or refundable (if any), and the change in deferred tax assets and liabilities. Deferred tax assets and liabilities are the expected future tax amounts for the temporary differences between carrying amounts and tax bases of assets and liabilities, computed using enacted tax rates. A valuation allowance, if needed, reduces deferred tax assets to the amount expected to be realized.

A tax position (if any) is recognized as a benefit only if it is "more likely than not" that the tax position would be sustained in a tax examination, with a tax examination being presumed to occur. The amount recognized is the largest amount of tax benefit that is greater than 50% likely of being realized on examination. For tax positions not meeting the "more likely than not" test, no tax benefit is recorded. There were no material unrecognized tax positions at December 31, 2020 and 2019.

In the event the Bank incurs any interest and/or penalties related to income tax matters, they would be recognized as income tax expense.

Comprehensive Income: Comprehensive income consists of net income and other comprehensive (loss) income. Other comprehensive (loss) income includes unrealized gains and losses on securities available for sale which are also recognized as separate components of stockholders' equity.

Fair Value of Financial Instruments: Fair values of financial instruments are estimated using relevant market information and other assumptions, as more fully disclosed in "Note 3 – Fair Value". Fair value estimates involve uncertainties and matters of significant judgment regarding interest rates, credit risk, prepayments, and other factors, especially in the absence of broad markets for particular items. Changes in assumptions or in market conditions could significantly affect these estimates.

Concentration of Credit Risk: Most of the Bank's business activity is with customers whom are foreign national individuals acquiring residential properties in South Florida primarily for investment purposes. Approximately half of these customers have a national origin, and/or their primary source of income are derived from Venezuela. The remaining customers are mainly from Latin American and Caribbean countries. Therefore, the Bank's exposure to any future credit and liquidity risks is affected by the changes in the economy and political

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FACEBANK INTERNATIONAL CORPORATION
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
December 31, 2020 and 2019

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

stability of Venezuela, Latin American and Caribbean countries and the real estate market of South Florida as the collateral is located in South Florida. As of December 31, 2020, and 2019, the Bank had concentrations of credit risk with depository institutions in the form of bank accounts. Amounts due from depository institutions insured by the FDIC exceeding insured balances as of December 31, 2020 and 2019, were $509,040 and $196,337, respectively. Amounts due from depository institutions not insured by the FDIC as of December 31, 2020 and 2019, were $1,265,436 and $503,164, respectively.

Revenue Recognition: In May 2014, the Financial Accounting Standards Board updated the Accounting Standards Codification to create a new, principles-based revenue recognition framework. This guidance requires entities to recognize revenues when they transfer promised goods or services to customers in an amount that reflects the consideration to which the entity expects to be entitled in exchange for those goods or services.

The Bank adopted the guidance on January 1, 2019 using a modified method, in which the guidance applies to existing customer accounts in effect at January 1, 2019 and new customer accounts established after this date. The Bank conducted an assessment of the revenue streams that were potentially affected by the new guidance and reviewed activity to ensure compliance with the new guidance.

The Bank has identified wire transfer fees and other income as its most significant revenue streams within the scope of the standard. For the revenue stream that was found in scope, management reviewed in detail its most significant transactions with corresponding customer accounts.

The adoption of this guidance did not have a material effect on the Bank's statements. However, additional disclosures required by the standard have been included in "Note 11 – Revenue from Contracts with Customers".

Loan Commitments and Related Financial Instruments: Financial instruments include off-balance sheet credit instruments, such as commitments to make loans. The face amount for these items represents the exposure to loss, before considering customer collateral or ability to repay. Such financial instruments are recorded when they are funded.

Loss Contingencies: Loss contingencies, including claims and legal actions arising in the ordinary course of business, are recorded as liabilities when the likelihood of loss is probable and an amount or range of loss can be reasonably estimated. Management does not believe there now are such matters that will have a material effect on the financial statements.

(Continued)

NOTE 2 – SECURITIES

Available-for-Sale

The following tables summarize the amortized cost and fair value of securities available-for-sale by security type at December 31, 2020 and 2019, and the corresponding amounts of gross unrealized gains and losses recognized in accumulated other comprehensive (loss) income:

	Amortized Cost	Gross Unrealized Gains	Gross Unrealized Losses	Fair Value
December 31, 2020				
U.S. Treasury and federal agency	$ 9,246,759	$ 1,954	$ -	$ 9,248,713
U.S. Government sponsored entities and agencies	15,961,399	45,542	(13,264)	15,993,677
State and political subdivision	962,440	895	(2,411)	960,924
Corporate bonds	50,697,036	670,052	(36,987)	51,330,101
Total securities available-for-sale	$ 76,867,634	$ 718,443	$ (52,662)	$ 77,533,415

	Amortized Cost	Gross Unrealized Gains	Gross Unrealized Losses	Fair Value
December 31, 2019				
U.S. Treasury and federal agency	$ 505,175	$ -	$ (253)	$ 504,922
U.S. Government sponsored entities and agencies	19,955,155	33,071	(13,073)	19,975,153
Corporate bonds	26,284,653	157,285	(30,599)	26,411,339
Total securities available-for-sale	$ 46,744,983	$ 190,356	$ (43,925)	$ 46,891,414

The proceeds from sales and calls of securities available-for-sale and the associated gains and losses are listed below:

	2020	2019
Proceeds	$ 34,188,318	$ 43,114,501
Gross gains	403,932	11,403
Gross losses	-	(87)

(Continued)

NOTE 2 – SECURITIES (Continued)

Held-to-Maturity

The following tables summarize the amortized cost and fair value of securities held-to-maturity by security type at December 31, 2020 and 2019, and the corresponding amounts of gross unrealized gains and losses:

	Amortized Cost	Gross Unrecognized Gains	Gross Unrecognized Losses	Fair Value
December 31, 2020				
U.S. Treasury and federal agency	$ 16,892,638	$ 1,581	$ (3,969)	$ 16,890,250
Total securities held-to-maturity	$ 16,892,638	$ 1,581	$ (3,969)	$ 16,890,250

	Amortized Cost	Gross Unrecognized Gains	Gross Unrecognized Losses	Fair Value
December 31, 2019				
U.S. Treasury and federal agency	$ 18,164,274	$ -	$ (132,049)	$ 18,032,225
Total securities held-to-maturity	$ 18,164,274	$ -	$ (132,049)	$ 18,032,225

Held to maturity securities with amortized cost of $1,898,419 are pledged to the Federal Reserve Bank as collateral for clearing services provided by the Federal Reserve Bank.

The amortized cost and fair value of the investment securities portfolio are shown below by expected maturity. Expected maturities may differ from contractual maturities if borrowers have the right to call or prepay obligations with or without call or prepayment penalties.

	Held-to-Maturity		Available-for-Sale
	Carrying Amount	Fair Value	Fair Value
December 31, 2020			
Due within one year	$11,891,517	$11,890,250	$ 20,555,902
Due after one year through five years	5,001,121	5,000,000	56,977,513
Due after five years through ten years	-	-	-
Due over ten years	-	-	-
Total	$16,892,638	$16,890,250	$ 77,533,415

	Held-to-Maturity		Available-for-Sale
	Carrying Amount	Fair Value	Fair Value
December 31, 2019			
Due within one year	$18,164,274	$18,032,225	$ 4,730,332
Due after one year through five years	-	-	42,161,082
Due after five years through ten years	-	-	-
Due over ten years	-	-	-
Total	$18,164,274	$18,032,225	$ 46,891,414

(Continued)

NOTE 2 – SECURITIES (Continued)

As of December 31, 2020, there were five security holdings in an amount greater than 10% of stockholders' equity. Three of these securities were U.S. Treasury and federal agency securities with a balance $19,991,316, and two were an U.S. Government sponsored entities and agencies securities with a balance of $6,002,964. As of December 31, 2019, there were four security holdings in an amount greater than 10% of stockholders' equity. Three of these securities were U.S. Treasury and federal agency securities with a balance $16,876,547, and one was an U.S. Government sponsored entities and agencies security with a balance of $2,998,400.

The following table summarizes securities with unrealized losses at December 31, 2020 and 2019, aggregated by major security type and length of time in a continuous unrealized loss position:

	Less Than 12 Months		12 Months or Longer		Total	
	Fair Value	Unrealized Losses	Fair Value	Unrealized Losses	Fair Value	Unrealized Losses
December 31, 2020						
Available-for-sale						
U.S. Government sponsored entities and agencies	$ 3,279,321	$ (10,088)	$ 264,940	$ (3,176)	$ 3,544,261	$ (13,264)
State and political subdivision	750,973	(2,411)	-	-	750,973	(2,411)
Corporate bonds	12,527,793	(36,987)	-	-	12,527,793	(36,987)
Total available-for-sale	16,558,087	(49,486)	264,940	(3,176)	16,823,027	(52,662)
Held-to-maturity						
U.S. Treasury and federal agency	14,990,250	(3,969)	-	-	14,990,250	(3,969)
Total investment securities	$ 31,548,337	$ (53,455)	$ 264,940	$ (3,176)	$ 31,813,277	$ (56,631)

	Less Than 12 Months		12 Months or Longer		Total	
	Fair Value	Unrealized Losses	Fair Value	Unrealized Losses	Fair Value	Unrealized Losses
December 31, 2019						
Available-for-sale						
U.S. Treasury and federal agency	$ 504,922	$ (253)	$ -	$ -	$ 504,922	$ (253)
U.S. Government sponsored entities and agencies	9,314,842	(13,073)	-	-	9,314,842	(13,073)
Corporate bonds	8,212,094	(30,599)	-	-	8,212,094	(30,599)
Total available-for-sale	18,031,858	(43,925)	-	-	18,031,858	(43,925)
Held-to-maturity						
U.S. Treasury and federal agency	18,032,225	(132,049)	-	-	18,032,225	(132,049)
Total investment securities	$ 36,064,083	$ (175,974)	$ -	$ -	$ 36,064,083	$ (175,974)

(Continued)

FACEBANK INTERNATIONAL CORPORATION
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
December 31, 2020 and 2019

NOTE 2 – SECURITIES (Continued)

For the years ended December 31, 2020 and 2019, the Bank did not record other than temporary impairments.

Unrealized losses have not been recognized into operations because the decline in fair value is largely due to changes in interest rates and other market conditions. The issuers are believed to be of high credit quality and there has been no interest payment default and or deferral and management does not intend to sell and it is likely that management will not be required to sell the securities prior to their anticipated recovery. The fair value is expected to recover as the instruments approach maturity.

NOTE 3 – FAIR VALUE

Fair value is the exchange price that would be received for an asset or paid to transfer a liability (exit price) in the principal or most advantageous market for the asset or liability in an orderly transaction between market participants on the measurement date. There are three levels of inputs that may be used to measure fair values:

Level 1: Quoted prices (unadjusted) for identical assets or liabilities in active markets that the entity has the ability to access as of the measurement date.

Level 2: Significant other observable inputs other than Level 1 prices such as quoted prices for similar assets or liabilities; quoted prices in markets that are not active; or other inputs that are observable or can be corroborated by observable market data.

Level 3: Significant unobservable inputs that reflect a reporting entity's own assumptions about the assumptions that market participants would use in pricing an asset or liability.

The Bank used the following methods and significant assumptions to estimate fair value:

Investment Securities: The fair values of investment securities outstanding that are determined by obtaining quoted prices on nationally recognized securities exchanges are Level 1 inputs. For securities where quoted prices are not available or they have limited trading, fair values are calculated based on market prices of similar securities or adjusted quoted prices (Level 2).

Impaired Loans: The fair value of impaired loans with specific allocations of the allowance for loan losses is generally based on recent real estate appraisals. These appraisals may utilize a single valuation approach or a combination of approaches including comparable sales and the income approach. Adjustments are routinely made in the appraisal process by the independent appraisers to adjust for differences between the comparable sales and income data available for similar loans and collateral underlying such loans. Such adjustments resulted in a Level 3 classification of the inputs for determining fair value.

(Continued)

NOTE 3 – FAIR VALUE (Continued)

Assets and liabilities measured at fair value on a recurring basis are summarized below:

	Fair Value Measurements at December 31, 2020 Using:			
	Quoted Prices in Active Markets for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)	Total
Investment Securities				
Available-for-sale:				
U.S. Treasury and federal agency	$ -	$ 9,248,713	$ -	$ 9,248,713
U.S. Government sponsored entities and agencies	-	15,993,677	-	15,993,677
State and political subdivision	-	960,924	-	960,924
Corporate bonds	-	51,330,101	-	51,330,101
Total available-for-sale	$ -	$ 77,533,415	$ -	$ 77,533,415

	Fair Value Measurements at December 31, 2019 Using:			
	Quoted Prices in Active Markets for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)	Total
Investment Securities				
Available-for-sale:				
U.S. Treasury and federal agency	$ -	$ 504,922	$ -	$ 504,922
U.S. Government sponsored entities and agencies	-	19,975,153	-	19,975,153
Corporate bonds	-	26,411,339	-	26,411,339
Total available-for-sale	$ -	$ 46,891,414	$ -	$ 46,891,414

There were no transfers between Levels 1 and 2 during 2020 or 2019. There were no transfers between Levels 2 and 3 during 2020 and 2019.

(Continued)

NOTE 3 – FAIR VALUE (Continued)

Assets and liabilities measured at fair value on a non-recurring basis are summarized below:

		Fair Value Measurements at December 31, 2020 Using:		
	Total	Quoted Prices in Active Markets for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Impaired loans:				
Residential real estate	$ 1,349,006	$ -	$ -	$ 1,349,006
	$ 1,349,006	$ -	$ -	$ 1,349,006

Residential real estate impaired loans, which are measured for impairment using the fair value of the collateral for collateral dependent loans, had a carrying amount as of December 31, 2020 of $1,369,636 with a valuation allowance of $20,630.

		Fair Value Measurements at December 31, 2019 Using:		
	Total	Quoted Prices in Active Markets for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Impaired loans:				
Residential real estate	$ 883,604	$ -	$ -	$ 883,604
	$ 883,604	$ -	$ -	$ 883,604

Residential real estate impaired loans, which are measured for impairment using the fair value of the collateral for collateral dependent loans, had a carrying amount as of December 31, 2019 of $897,060 with a valuation allowance of $13,456.

(Continued)

NOTE 4 – LOANS

Loans at December 31, 2020 and 2019 were as follows:

	2020	2019
Residential real estate	$ 243,323,289	$ 224,048,107
Consumer	3,224,157	2,596,020
Credit cards	3,379,874	3,422,308
Total	$ 249,927,320	$ 230,066,435
Net deferred loan costs	1,098,349	651,174
Allowance for loan losses	(905,695)	(779,620)
Loans, net	$ 250,119,974	$ 229,937,989

The following tables present the activity in the allowance for loan losses by portfolio segment for the years ending December 31, 2020 and 2019:

December 31, 2020	Residential Real Estate	Consumer and Credit Cards	Total
Allowance for loan losses:			
Beginning balance	$ 685,771	$ 93,849	$ 779,620
Provision for loan losses	114,347	14,919	129,266
Loans charged-off	-	(17,309)	(17,309)
Recoveries	-	14,118	14,118
Total ending allowance balance	$ 800,118	$ 105,577	$ 905,695

December 31, 2019	Residential Real Estate	Consumer and Credit Cards	Total
Allowance for loan losses:			
Beginning balance	$ 613,186	$ 40,772	$ 653,958
Provision for loan losses	72,585	81,244	153,829
Loans charged-off	-	(33,351)	(33,351)
Recoveries	-	5,184	5,184
Total ending allowance balance	$ 685,771	$ 93,849	$ 779,620

NOTE 4 – LOANS (Continued)

The following tables present the balance in the allowance for loan losses and the recorded investment in loans by portfolio segment and based on impairment method as of December 31, 2020 and 2019:

December 31, 2020	Residential Real Estate	Consumer and Credit Cards	Total
Allowance for loan losses:			
Ending allowance balance attributable to loans:			
Individually evaluated for impairment	$ 20,630	$ 1,736	$ 22,366
Collectively evaluated for impairment	779,488	103,841	883,329
Total ending allowance balance	$ 800,118	$ 105,577	$ 905,695
Loans			
Individually evaluated for impairment	$ 1,369,636	$ 9,112	$ 1,378,748
Collectively evaluated for impairment	241,953,653	6,594,919	248,548,572
Total ending loans balance	$ 243,323,289	$ 6,604,031	$ 249,927,320

December 31, 2019	Residential Real Estate	Consumer and Credit Cards	Total
Allowance for loan losses:			
Ending allowance balance attributable to loans:			
Individually evaluated for impairment	$ 13,456	$ -	$ 13,456
Collectively evaluated for impairment	672,315	93,849	766,164
Total ending allowance balance	$ 685,771	$ 93,849	$ 779,620
Loans			
Individually evaluated for impairment	$ 897,060	$ -	$ 897,060
Collectively evaluated for impairment	223,151,047	6,018,328	229,169,375
Total ending loans balance	$ 224,048,107	$ 6,018,328	$ 230,066,435

NOTE 4 – LOANS (Continued)

The following table presents information related to impaired loans by class of loans as of and for the years ended December 31, 2020 and 2019:

	Unpaid Principal Balance	Recorded Investment	Allowance for Loan Losses Allocated	Average Recorded Investment	Interest Income Recognized	Cash Basis Interest Recognized
December 31, 2020						
With no related allowance recorded:						
Residential real estate	$ -	$ -	$ -	$ -	$ -	$ -
Consumer	-	-	-	-	-	-
Subtotal	-	-	-	-	-	-
With an allowance recorded:						
Residential real estate	1,369,636	1,369,636	20,630	1,378,858	-	-
Consumer	-	-	-	-	-	-
Subtotal	1,369,636	1,369,636	20,630	1,378,858	-	-
Total	$ 1,369,636	$ 1,369,636	$ 20,630	$ 1,378,858	$ -	$ -
December 31, 2019						
With no related allowance recorded:						
Residential real estate	$ -	$ -	$ -	$ -	$ -	$ -
Subtotal	-	-	-	-	-	-
With an allowance recorded:						
Residential real estate	897,060	897,060	13,456	900,373	-	-
Subtotal	897,060	897,060	13,456	900,373	-	-
Total	$ 897,060	$ 897,060	$ 13,456	$ 900,373	$ -	$ -

NOTE 4 – LOANS (Continued)

As of December 31, 2020, and 2019, non-accrual loans and loans past due 90 days still on accrual were as follows:

	2020	2019
Loans past due over 90 days still on accrual	$ 373,555	$ 182,388
Nonaccrual loans past due less than 90 days	-	-
Nonaccrual loans past due over 90 days	1,270,425	714,672
	$ 1,643,980	$ 897,060

Interest income, which would have been recognized at the original rates on non-accrual loans, amounted to $12,596 and $5,379 for the years ended December 31, 2020 and 2019, respectively.

The following table presents the aging of the recorded investment in past due loans as well as the loans not past due as of December 31, 2020 by class of loans:

	30 – 59 Days Past Due	60 – 89 Days Past Due	Greater than 90 Days Past Due	Total Past Due	Loans Not Past Due	Total
Residential Real Estate	$7,115,037	$1,645,617	$ 1,618,385	$10,379,039	$232,944,250	$243,323,289
Consumer and Credit Cards	35,318	37,264	25,595	98,177	6,505,854	6,604,031
Total	$7,150,355	$1,682,881	$ 1,643,980	$10,477,216	$239,450,104	$249,927,320

The following table presents the aging of the recorded investment in past due loans as well as the loans not past due as of December 31, 2019 by class of loans:

	30 – 59 Days Past Due	60 – 89 Days Past Due	Greater than 90 Days Past Due	Total Past Due	Loans Not Past Due	Total
Residential Real Estate	$5,904,844	$2,184,759	$ 897,060	$ 8,986,663	$215,061,444	$224,048,107
Consumer and Credit Cards	70,418	25,602	4,509	100,529	5,917,799	6,018,328
Total	$5,975,262	$2,210,361	$ 901,569	$ 9,087,192	$220,979,243	$230,066,435

Credit Quality Indicators:

The Bank categorizes loans into risk categories based on relevant information about the ability of borrowers to service their debt such as: current financial information, historical payment experience, credit documentation, public information, and current economic trend, among other factors. The Bank analyzes loans individually by classifying the loans as to credit risk. This analysis is performed at the origination of the loan and is mostly based on the value of the underlying collateral. The loan risk is revised after origination if the loan becomes delinquent. The Bank uses the following definitions for risk ratings:

NOTE 4 – LOANS (Continued)

Special Mention - Loans classified as special mention have a potential weakness that deserves management's close attention. If left uncorrected, these potential weaknesses may result in deterioration of the repayment prospects for the loan or of the institution's credit position at some future date.

Substandard - Loans classified as substandard are inadequately protected by the current net worth and paying capacity of the obligor or of the collateral pledged, if any. Loans so classified have a well-defined weakness or weaknesses that jeopardize the liquidation of the debt. They are characterized by the distinct possibility that the institution will sustain some loss if the deficiencies are not corrected.

Doubtful - Loans classified as doubtful have all the weaknesses inherent in those classified as substandard, with the added characteristic that the weaknesses make collection or liquidation in full, on the basis of currently existing facts, conditions, and values, highly questionable and improbable.

Loans not meeting the criteria above that are analyzed individually as part of the above described process are considered to be pass rated loans. Loans listed as not criticized nor classified are included in groups of homogeneous loans.

As of December 31, 2020, and based on the most recent analysis performed, the risk category of loans by class of loans is as follows:

	Not criticized nor classified	Pass	Special Mention	Substandard	Doubtful	Total
Residential Real Estate	$241,704,904	$ -	$ -	$ 1,618,385	$ -	$243,323,289
Consumer and Credit Cards	6,578,436	-	-	25,595	-	6,604,031
Total	$248,283,340	$ -	$ -	$ 1,643,980	$ -	$249,927,320

As of December 31, 2019, and based on the most recent analysis performed, the risk category of loans by class of loans is as follows:

	Not criticized nor classified	Pass	Special Mention	Substandard	Doubtful	Total
Residential Real Estate	$223,151,047	$ -	$ -	$ 897,060	$ -	$ 224,048,107
Consumer and Credit Cards	6,013,819	-	-	-	-	6,018,328
Total	$229,164,866	$ -	$ -	$ 897,060	$ -	$ 230,066,435

(Continued)

FACEBANK INTERNATIONAL CORPORATION
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
December 31, 2020 and 2019

NOTE 4 – LOANS (Continued)

There are no loans whose terms have been modified in trouble debt restructurings as of December 31, 2020 and 2019. There were no loans modified as TDRs during the years ending December 31, 2020 or 2019. During 2020, short term modifications, generally less than three months, on loans less than 30 days past due as of December 31, 2019 or at the time of the modification for COVID-19 related modifications were not treated as TDRs. For loans that were deferred during 2020, each borrower is required begin making their regularly scheduled loan payment at the end of the deferral period and the deferred amounts are required to be paid over a three-year period. As of December 31, 2020, 148 loans with outstanding loan balances of $35,139,952, remained on deferral. None of these loans were considered TDR.

NOTE 5 – PREMISES AND EQUIPMENT

Premises and equipment as of December 31, 2020 and 2019 were as follows:

	2020	2019
Premises	$ 696,060	$ 696,060
Improvements to premises	55,807	55,807
Leasehold improvements	373,927	260,037
Computer equipment	1,031,967	797,015
Furniture, fixtures, equipment and vehicles	1,211,784	813,398
	3,369,545	2,622,317
Less: Accumulated depreciation	(1,427,651)	(1,143,315)
	$ 1,941,894	$ 1,479,002

Depreciation expense was $285,632 and $213,404 for the years ended December 31, 2020 and 2019, respectively.

Operating Leases: The Bank leases its sole location in Puerto Rico. Additionally, the Bank's wholly-owned subsidiary, FHT, leases two offices both under operating leases with five-year terms. Rental commitments, before considering renewal options that generally are present, were as follows:

2021	$ 255,707
2022	262,590
2023	207,427
2024	192,707
2025	48,872
Total	$ 967,303

(Continued)

NOTE 6 – DEPOSITS

The Bank is an IBE pursuant to the provisions of the International Banking Law of the Commonwealth of Puerto Rico. Deposits are not insured by the FDIC. Time deposits of $250 thousand or more were $36,624,080 and $34,307,171 as of December 31, 2020 and 2019, respectively.

Scheduled maturities of time deposits are as follows:

2021	$ 53,482,822
2022	995,649
Total	$ 54,478,471

Demand deposits earn interest at a fixed rate of 0.3% when the daily average balance equals or exceeds $25,000.

NOTE 7 – NOTES PAYABLE AND OTHER BORROWINGS

During the years ended December 31, 2018 and 2017, the Bank issued a total of $1,911,771 and $1,405,000, respectively, in notes payable. The notes are for terms of 24 months and carry a fixed rate of 3.37% payable monthly. During the years ended December 31, 2020 and 2019, there were no notes payable issued by the Bank. As of December 31, 2020 and 2019, these notes payable had a balance of zero and $1,911,771, respectively. The Bank made repayments on these notes payable of $1,911,771, $1,305,000 and $100,000, respectively, during the years ended December 31, 2020, 2019 and 2018. All notes were secured by the Bank's residential real estate portfolio.

During 2017, the Bank opened a line of credit with Banco Caribe with a total available credit limit of $5,000,000. As of December 31, 2020 and 2019, the balance on this line of credit was zero.

Interest expense derived from notes payable and other borrowings amounted to $39,668 and $94,958 for the years ended December 31, 2020 and 2019, respectively.

NOTE 8 – RELATED PARTY TRANSACTIONS

As of December 31, 2020 and 2019, the Bank held outstanding loans to officers, directors and employees amounting to $1,501,117 and $2,024,740, respectively.

As of December 31, 2020 and 2019, the Bank held demand and time deposits from officers, directors and other related parties including employees amounting to $4,120,794 and $4,131,129, respectively.

NOTE 9 – INCOME TAXES

All IBEs in Puerto Rico are 100% exempt from income, property, municipal, and tollgate taxes pursuant to the Puerto Rico International Banking Center Act of 1989, as amended ("Act 52"), provided that the income is derived from international banking activities; as such term is defined in Act 52. For the years ended December 31, 2020 and 2019, the Bank had no Puerto Rico tax liability as its operations were all derived from international banking activities as described in Act 52.

(Continued)

FACEBANK INTERNATIONAL CORPORATION
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
December 31, 2020 and 2019

NOTE 9 – INCOME TAXES (Continued)

For United States income tax purposes, the Bank is treated as a foreign corporation and, as such, is subject to federal income taxes on income from sources within the United States pursuant to the United States Internal Revenue Code, as amended.

For the period ended December 31, 2020 and 2019, the Bank did not have any U.S. tax liability recorded. There was no income subject to United States federal income tax during 2020 and 2019.

The Bank's subsidiary FHT is subject to U.S. federal income tax as well as income tax of the state of Florida. As of December 31, 2019, FHT had net operating loss carryforward in of approximately $253,273. For the year ended December 31, 2020, FHT recorded a book net income before taxes of $345,020. FHT does not have any substantial adjustments from book to tax income. For the year ended December 31, 2020, FHT recorded an income tax expense of $94,083. For the year ended December 31, 2019, FHT recorded an income tax benefit of $59,948 related to the reversal of FHT's deferred tax assets valuation allowance.

NOTE 10 – LOAN COMMITMENTS

Some financial instruments, such as loan commitments and overdraft protection, are issued to meet customer financing needs. These are agreements to provide credit or to support the credit of others, as long as conditions established in the contract are met, and usually have expiration dates. Commitments may expire without being used. Off-balance-sheet risk to credit loss exists up to the face amount of these instruments, although material losses are not anticipated. The same credit policies are used to make such commitments as are used for loans, including obtaining collateral at exercise of the commitment.

As of December 31, 2020 and 2019, contractual amounts or commitments of financial instruments consisted in unused lines of credits of approximately $11,586,433 and $10,178,520, respectively. Unused lines of credit are commitments for possible future extensions of credit to existing customers. These lines of credit are usually collateralized and do not contain a specified maturity date and may not be drawn upon to the total extent to which the Bank is committed.

(Continued)

NOTE 11 – REVENUE FROM CONTRACTS WITH CUSTOMERS

As noted in "Note 1 – Summary of Significant Accounting Policies", the Bank adopted the provisions of ASU 2014-09, "Revenue from Contracts with Customers (Topic 606)" (ASC Topic 606), on January 1, 2019.

In accordance with ASC Topic 606, revenues are recognized when control of promised goods or services are transferred to customers in an amount that reflects the consideration to which the Bank expects to be entitled in exchange for those goods or services. To determine revenue recognition for arrangements that an entity determines are within the scope of ASC Topic 606, the Bank performs the following five steps: (i) identifies the contract(s) with a customer; (ii) identifies the performance obligations in the contract; (iii) determines the transaction price; (iv) allocates the transaction price to the performance obligations in the contract; and (v) recognizes revenue when (or as) the Bank satisfies a performance obligation. The Bank only applies the five-step model to contracts when it is probable that the Bank will collect the consideration to which it is entitled in exchange for the goods or services it transfers to the customer. At contract inception, once the contract is determined to be within the scope of ASC Topic 606, the Bank assesses the goods or services that are promised within each contract and identifies those that contain performance obligations and assesses whether each promised good or services is distinct. The Bank then recognizes as revenue the amount of the transaction price that is allocated to the respective performance obligation when (or as) the performance obligation is satisfied. The adoption of this standard did not have a material impact on the amount or timing of revenue recognition. The adoption of this standard added additional footnote disclosures and had no other impact on the Bank's financial statements.

The following table summarizes the Bank's revenue, disaggregated by type of services for the years ending December 31, 2020 and 2019:

	2020	2019
Wire transfer fees	$ 3,316,404	$ 2,873,195
Other income	847,917	869,743
Not within the scope of ASC Topic 606	15,246,501	14,633,241
	$19,410,822	$18,376,179

The following is a description of revenues within the scope of ASC Topic 606:

Wire transfer fees: The Bank earns fees from providing wire transfer services to its clients, these are recognized at the time the transaction is executed as that is the point in time the Bank fulfills the customer's request. The fees are paid by the customer in cash when the transaction is executed.

Other income: The Bank earns fees from its deposit customers for transaction-based and account maintenance services. Transaction-based fees, which include services such as ACH transaction fees, bank checks fees, returned checks fees, commissions on foreign transactions, and debit cards fees, are recognized at the time the transaction is executed as that is the point in time the Bank fulfills the customer's request. Account maintenance fees, which relate primarily to monthly maintenance, are earned over the course of a month, representing the period over which the Bank satisfies the performance obligation. Service charges on deposits are withdrawn from the customer's account balance.

Not in Scope of ASC Topic 606: Most of the Bank's revenue is not within the scope of ASC Topic 606.The guidance explicitly excludes interest income from financial assets, as well as other non-interest income from loans and investment securities.

(Continued)

FACEBANK INTERNATIONAL CORPORATION
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
December 31, 2020 and 2019

NOTE 11 – REVENUE FROM CONTRACTS WITH CUSTOMERS (Continued)

The Bank did not have any significant performance obligations as of December 31, 2020. The Bank did not have any material contract acquisition costs, nor did it make in estimates when recognizing revenue. The only significant judgements in recognizing revenue for financial reporting purposes was the determination of whether to recognize revenue at a point in time or over time.

(Continued)

FACEBANK INTERNATIONAL CORPORATION
CONSOLIDATING BALANCE SHEET
December 31, 2020

	FaceBank	FHT	Eliminations	Consolidated
ASSETS				
Cash and cash equivalents	$ 39,899,391	$ 2,133,994	$(2,064,094)	$ 39,969,291
Interest-bearing deposits (restricted $582,375)	582,375	-	-	582,375
Securities available for sale	77,533,415	-	-	77,533,415
Securities held to maturity	16,892,638	-	-	16,892,638
Loans, net of allowance	249,973,000	146,974	-	250,119,974
Premises and equipment, net	1,723,685	218,209	-	1,941,894
Accrued interest receivable	1,547,299	-	-	1,547,299
Investment in subsidiary	2,469,356	-	(2,469,356)	-
Other assets	1,588,307	55,963	-	1,644,270
Total Assets	$ 392,209,466	$ 2,555,140	$ (4,533,450)	$ 390,231,156
LIABILITIES AND STOCKHOLDERS' EQUITY				
Liabilities				
Deposits				
Demand deposits	$ 306,441,138	$ -	$ (2,064,094)	$ 304,377,044
Time deposits	54,478,471	-	-	54,478,471
Escrow accounts	3,083,364	-	-	3,083,364
Total deposits	364,002,973	-	(2,064,094)	361,938,879
Accrued interest payable	352,247	-	-	352,247
Accrued expenses and other liabilities	1,128,610	85,784	-	1,214,394
Total liabilities	365,483,830	85,784	(2,064,094)	363,505,520
STOCKHOLDERS' EQUITY				
Class A common stock	8,115,054	2,976,530	(2,976,530)	8,115,054
Class B common stock	5,085,124	-	-	5,085,124
Retained Earnings	12,859,677	(507,174)	507,174	12,859,677
Accumulated other comprehensive income	665,781	-	-	665,781
	26,725,636	2,469,356	(2,469,356)	26,725,636
	$ 392,209,466	$ 2,555,140	$ (4,533,450)	$ 390,231,156

FACEBANK INTERNATIONAL CORPORATION
CONSOLIDATING STATEMENT OF OPERATIONS
Year ended December 31, 2020

	FaceBank	FHT	Eliminations	Consolidated
Interest income				
Loans, including fees	$ 13,568,558	$ 8,703	$ -	$ 13,577,261
Interest-bearing deposits	114,176	-	-	114,176
Securities	1,151,132	-	-	1,151,132
	14,833,866	8,703	-	14,842,569
Interest expense				
Deposits	1,270,802	-	-	1,270,802
Other	43,396	-	-	43,396
	1,314,198	-	-	1,314,198
Net interest income	13,519,668	8,703	-	13,528,371
Provision for loan losses	129,266	-	-	129,266
Net interest income after provision for loan losses	13,390,402	8,703	-	13,399,105
Noninterest income (loss)				
Wire transfer fees	3,316,404	-	-	3,316,404
Loss on sale of securities available for sale	403,932	-	-	403,932
Other income	706,804	1,797,843	(1,656,730)	847,917
	4,427,140	1,797,843	(1,656,730)	4,568,253
Noninterest expenses				
Salaries and employee benefits	4,296,857	1,026,493	(1,411,536)	3,911,814
Commission expense	2,353,967	-	-	2,353,967
Professional services	2,517,711	16,687	-	2,534,398
Occupancy and related expenses	547,023	221,940	-	768,963
Debit and credit card processing fees	836,728	-	-	836,728
Advertising	274,596	-	-	274,596
Bank service fees	163,164	120	-	163,284
Other expenses	1,545,429	196,286	(245,194)	1,496,521
	12,535,475	1,461,526	(1,656,730)	12,340,271
Earnings of subsidiary	250,937	-	(250,937)	-
Income before income taxes	5,533,004	345,020	(250,937)	5,627,087
Income tax (benefit)	-	94,083	-	94,083
Net income	$ 5,533,004	$ 250,937	$ (250,937)	$ 5,533,004